AMENDED IN SENATE MAY 23, 2025

AMENDED IN SENATE MAY 6, 2025

AMENDED IN SENATE MARCH 26, 2025

SENATE BILL No. 500

Introduced by Senator Stern

February 19, 2025

An act to add Section 399.10 to the Public Utilities Code, relating to electricity.

LEGISLATIVE COUNSEL'S DIGEST

SB 500, as amended, Stern. Electrical corporations: performance metrics and incentives.

Existing law vests the Public Utilities Commission with regulatory authority over public utilities, including electrical corporations. Under existing law, it is the policy of the state that each electrical corporation continue to operate its electric distribution grid in its service territory and to do so in a safe, reliable, efficient, and cost-effective manner.

This bill would ~~require~~ *authorize* the commission to evaluate performance metrics and financial performance-based incentives to identify mechanisms that may serve to better align electrical corporation operations, expenditures, and investments with delivering safe and reliable electrical service and achieving public policy goals, while minimizing costs for ratepayers. The bill would require the commission to prioritize performance metrics and financial performance-based incentives that can reduce electrical corporations' preference for investments that can be added to their ratebase and instead encourage electrical corporations to propose the most cost-effective solutions for providing safe and reliable electrical service, as provided. The bill would

require the commission to study incentive mechanisms approved by the commission, and other incentive mechanisms deployed by other jurisdictions, to determine their effectiveness and to identify any unintended consequences of their adoption, as provided. The bill would ~~require~~ *authorize* the commission, on or before January 1, 2028, to begin tracking one or more of the performance metrics identified, and to subsequently consider whether financial performance-based incentives linked to those performance metrics would be effective and beneficial for minimizing costs for ratepayers.

Under existing law, a violation of the Public Utilities Act or an order, decision, rule, direction, demand, or requirement of the commission is a crime.

Because the provisions of this bill would be a part of the act and a violation of a commission action implementing the requirements of the bill would be a crime, the bill would impose a state-mandated local program.

The California Constitution requires the state to reimburse local agencies and school districts for certain costs mandated by the state. Statutory provisions establish procedures for making that reimbursement.

This bill would provide that no reimbursement is required by this act for a specified reason.

Vote: majority. Appropriation: no. Fiscal committee: yes. State-mandated local program: yes.

The people of the State of California do enact as follows:

SECTION 1. Section 399.10 is added to the Public Utilities Code, to read:

399.10. (a) The commission, in ~~a new or~~ *an* existing public proceeding, ~~shall~~ *may* evaluate performance metrics and financial performance-based incentives to identify mechanisms that may serve to better align an electrical corporation's operations, expenditures, and investments with delivering safe and reliable electrical service and achieving public policy goals, while minimizing costs for ratepayers.

(b) The commission shall prioritize performance metrics and financial performance-based incentives that can reduce electrical corporations' preference for investments that can be added to their ratebase and instead encourage electrical corporations to propose

the most cost-effective solutions for providing safe and reliable electrical service, including consideration of all of the following:

(1) Supporting load growth with existing transmission and distribution infrastructure and avoiding new capital investment, whenever feasible and cost effective, through the use of time-of-use rates, virtual powerplant procurement, or other demand flexibility programs that avoid or reduce the need for infrastructure upgrades while maintaining safety standards.

(2) When expansion of transmission and distribution infrastructure cannot be avoided, choosing the most cost-effective options for achieving that needed expansion, such as through the use of grid-enhancing technologies and distribution-connected generation and energy storage facilities.

(3) When investment is required to improve the safety of transmission and distribution infrastructure, choosing the most cost-effective way to achieve a reasonable level of risk reduction, such as through the use of covered conductors and fast-trip technologies to reduce the risk of ignitions as alternatives to undergrounding electrical lines.

(c) ~~In addition to evaluating performance metrics and financial performance-based incentives, the~~ *The* commission shall study incentive mechanisms approved by the commission, and other incentive mechanisms deployed by other jurisdictions, to determine their effectiveness and to identify any unintended consequences of their adoption. The commission shall use its findings from the study to inform its adoption of any new or continuing incentive mechanisms.

(d) On or before January 1, 2028, the commission ~~shall~~ *may* begin tracking one or more of the performance metrics identified pursuant to this section and shall subsequently consider whether financial performance-based incentives linked to those performance metrics would be effective and beneficial for minimizing costs for ratepayers.

SEC. 2. No reimbursement is required by this act pursuant to Section 6 of Article XIII B of the California Constitution because the only costs that may be incurred by a local agency or school district will be incurred because this act creates a new crime or infraction, eliminates a crime or infraction, or changes the penalty for a crime or infraction, within the meaning of Section 17556 of the Government Code, or changes the definition of a crime within

the meaning of Section 6 of Article XIII B of the California Constitution.

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